MESA SCHOOL OF BUSINESS · TERM 2

Business Metrics & Mindset

with Meet Kotak

SESSION 3

Reading a business by its ratios and its cash

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COURSE INTRODUCTION

Where this sits, and where every metric comes back

#	Session	Role in the course
1	Models, revenue engines and metric trees	Done
2	Walking down a MIS + Universal metrics (across every function and key sectors)	Done
3	**Financial ratios and cash metrics**	***Today***
4	Customer economics, marketing and SAAS metrics	*Vocabulary*
5	MIS and ground-up projections (AOP)	*The build*
6	Practice: a one-screen dashboard with metrics, built live	*Applied*
7	Valuation: methods, multiples and judgement	*The judgement*
8	Practice: quantitative drill and exam prep	*Applied*

Agenda

1. **Return ratios**
   What a rupee of capital earns

2. **Working capital**
   Whether growth makes cash or eats it

3. **Profit vs cash**
   Why the two are not the same thing

4. **Burn and runway**
   The startup version of the question

5. **The fingerprint**
   Name a business from its ratios alone

You leave with: **a ratio-based diagnosis of a company nobody names for you.**

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Objective of the day: Success of this class is measured when students will be able to:

1. Split an ROE into margin, turnover and leverage
2. Compute the cash cycle and read who funds growth
3. Build FCFE and test self-funded growth
4. Judge burn, runway and the burn multiple
5. Name a sector from its ratios alone

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WARM-UP

EXERCISE 1

Six from last 2 sessions

Rapid fire. Call them out. No notes, no calculators.

01 A platform does ₹200 Cr GMV, books ₹30 Cr net. Take rate?

02 Which contribution margin absorbs performance marketing?

03 DSO is rising, sales are flat. Whose number is it?

04 ARR 100, add 20 expansion, lose 15 to churn. NRR?

05 A principal books ₹1,000 on a ₹1,000 sale. An agent books?

06 DAU/MAU falls 35% to 22%. What just happened?

ANSWERS

15% · CM2 · Finance (customers paying slower) · 105% · only the commission · fewer monthly users come back daily.

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01

WHAT A RUPEE OF CAPITAL EARNS

Return ratios

A business is a machine. Capital goes in, profit comes out. These numbers measure the machine.

THE ONE IDEA

Capital in, profit out

Every ratio in this section is the same question with a different pairing.

CAPITAL IN

Owners' and lenders' money, locked into the business.

→

THE MACHINE

Stores, code, people, brand. Whatever it actually is.

→

PROFIT OUT

What comes back each year.

Return = Profit out ÷ Capital in

The only hard part is deciding which profit, and which capital.

Four ratios, **one idea with four pairings.** Get the pairing wrong and the number means nothing.

THE FOUR

Same shape, four different questions

They look alike. Different people ask them, about different pools of money.

ROE

Net profit ÷ Equity

What the owners earn. Flattered by debt.

Asked by the equity investor.

ROA

Net profit ÷ Assets

What the asset base earns, funding aside.

Asked by the credit analyst.

ROCE

EBIT ÷ (Equity + Debt)

What the whole business earns, pre-tax.

Asked by the operator.

ROIC

NOPAT ÷ Capital at work

The purest version, after tax, cash stripped.

Asked by the long-term investor.

ROE for the owner, ROCE for the operator, ROIC for the analyst.

The real test sits above all four: if **ROIC beats the cost of capital**, growth creates value. If not, growth destroys it.

CORE FORMULAE

ROE, ROCE and NOPAT, defined

The testable form and the accurate form, for each of the three.

Return on Equity (ROE)

$$\textbf{ROE} = \frac{\text{Net Income}}{\text{Equity}}$$ *Basic form*

$$\textbf{ROE} = \frac{\text{Net Income}}{\text{Revenue}} \times \frac{\text{Revenue}}{\text{Average Total Assets}} \times \frac{\text{Average Total Assets}}{\text{Average Total Equity}}$$

i.e. ROE = PAT Margin × Turnover × Leverage

Return on Capital Employed (ROCE)

$$\textbf{ROCE} = \frac{\text{EBIT}}{\text{Total Assets} - \text{Total Current Liabilities}}$$ *Accurate · not testable*

$$\textbf{ROCE} = \frac{\text{EBIT}}{\text{Equity} + \text{Debt}}$$ *Basic · testable*

NOPAT

$$\textbf{NOPAT} = \text{EBIT} \times (1 - \text{Tax Rate})$$ *Basic · testable*

$$\textbf{NOPAT} = (\text{Net Income} + \text{Interest} + \text{Tax} + \text{Non-operating Expenses}) \times (1 - \text{Tax Rate})$$ *Accurate · not testable*

Learn the testable form; know the accurate form it approximates.

DUPONT

Three roads to the same ROE

Margin times turnover times leverage. The same number, built three ways that are not equally safe.

ROE = PAT Margin × Turnover × Leverage

Business	Margin	Turnover	Leverage	ROE	The engine
Premium brand	**14%**	0.9x	1.4x	**17.6%**	Pricing power
Value retailer	4%	**2.2x**	2.0x	**17.6%**	Throughput
Lending NBFC	19%	0.18x	**5.2x**	**17.8%**	Leverage

Same 18%. One earned on margin, one on turnover, one ***borrowed***. A lender's 5x leverage is the model. A manufacturer reaching the same ROE that way is a very different conversation.

Never quote an ROE without taking it apart. The three terms tell you how durable it is.

Illustrative profiles on real sector averages. Leverage = Total assets ÷ Equity.

QUICK CALC

EXERCISE 2

Which ratio is flattered by debt

Vidyut Components, FY26. ₹ Cr.

Line	₹ Cr
EBIT	300
Interest	60
Profit after tax	180
Equity	800
Debt	400
Capital employed	1,200

a. Compute ROE and ROCE.

b. Which is higher, and which one leverage flatters?

c. Interest coverage. Comfortable or not?

ANSWERS

ROE 180/800 = **22.5%**. ROCE 300/1,200 = **25%**. Coverage 300/60 = **5.0x**, comfortable. ROE is the one leverage lifts.

Write the formula before the number. **A figure with no working scores half.**

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02

HOW FAST THE MONEY GOES ROUND

Working capital

A return ratio says how much. This says how often, and whether growth makes cash or eats it.

THE CASH CLOCK

For how many days is your money tied up

Three day-counts, one answer.

DIO

Avg. Inventory ÷ COGS × 365

Days stock sits

+

DSO

Avg. Receivables ÷ Rev × 365

Days to get paid

−

DPO

Avg. Payables ÷ COGS × 365

Days you take to pay

=

CCC

days tied up

Inventory Turnover Ratio

COGS ÷ Avg. Inventory

of inventory turns in a period

Receivables Turnover Ratio

Net Credit Sales ÷ Receivables

How many times you collect receivables in a period



= Better

NEGATIVE CYCLE

Customers and suppliers fund you. Growth releases cash.

QSR, grocery, q-commerce

POSITIVE CYCLE

You fund the loop. Growth absorbs cash before it returns any.

Jewellery, capital goods

The real question: in this business, does growth generate cash or consume it?

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THE QUIET SUPERPOWER

When the customer funds the company

Negative working capital is not an accounting quirk. It is a business model.

SELL IN DAYS, PAY IN MONTHS

A pizza chain collects at the counter, holds three weeks of stock, pays suppliers in four months. Every new store adds cash the day it opens.

BUY IN MONTHS, COLLECT IN MONTHS

A jeweller holds six months of gold and sells some on credit. Every new store ties up cash for the better part of a year before it returns any.

LIVE READ · JUBILANT FOODWORKS

India's Domino's operator has run a cash cycle of **−70 to −150 days** for most of a decade. The float funds the stores, so net debt stays tiny. Same trick behind q-commerce and subscriptions.

Watch for a negative cycle that widens because payables are stretched, not because the model is working.

Source: Jubilant FoodWorks working-capital days, screener.in. Directional, not a target.

EXERCISE 3

Two balance sheets, same revenue

Both did ₹1,200 Cr last year. Nothing else matches. ₹ Cr.

Line	Company A	Company B
Cost of goods sold	900	700
Inventory	150	280
Receivables	20	260
Payables	300	120

a. Compute DIO, DSO, DPO and the cash cycle for both.

b. Name a plausible sector for each, and the ratio that gave it away.

c. Both want to double. Which one needs a bank first?

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EXERCISE 3

Two balance sheets, same revenue

Days rounded.

Metric	Company A	Company B
DIO	61	146
DSO	6	79
DPO	122	63
Cash conversion cycle	−55 days	+162 days

b. THE SECTORS

A grocery or QSR. Six days of receivables means the customer pays at the till.

B jewellery or B2B. Five months of stock gives it away.

c. WHO NEEDS A BANK

B. Doubling roughly doubles the ₹420 Cr locked in working capital. A does the opposite: its negative cycle *releases* cash as it grows. Same revenue, same year, opposite financing problem.

Watch for: A's edge holds only while suppliers keep extending terms. Cut DPO and the model inverts overnight.

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03

THE GAP THAT KILLS HEALTHY COMPANIES

Profit is an opinion. Cash is a fact

Profit is assembled under accounting rules. Cash is a bank balance. This is the bridge between them.

THE GAP

Why a profitable company runs out of money

Four things sit between a profit line and a bank balance. Three never touch the P&L.

\+

Non-cash charges

Depreciation and ESOP cut profit, no cash leaves. Add them back.

–

Working capital

Growth locks cash into stock and receivables. The usual killer.

–

Capex

Never hits the P&L the year it is spent. It arrives later, as depreciation.

±

Financing

Borrowing adds cash, repayment removes it. Not performance.

THE OVERTRADING TRAP

Revenue up 40%. Margins hold. Profit rises. And the company fails, because every order needed stock and credit months before the customer paid. **None of it shows on the P&L.** It shows in one place: operating cash flow going negative while profit still climbs.

Read the cash flow statement first. If it disagrees with the P&L, the cash flow statement is right.

THE BUILD

From profit to the owner's cash, one line at a time

Net income at the top, cash the owners could take out at the bottom. ₹ Cr.

Net income	**180**	*The accounting answer*
+ Depreciation & amortisation	**90**	*Charged, never paid*
− Increase in working capital	**(40)**	*Growth locks cash up*
= Operating cash flow	**230**	*What the business made*
− Capital expenditure	**(150)**	*Cost of staying open*
= Free cash flow	**80**	*After the asset base*
+ Net borrowing	**50**	*Drawn minus repaid*
= FCFE	**130**	*Available to owners*

THE SIGN RULE

Grew an asset? Cash went out. Grew a liability? Cash came in. Non-cash charges come back.

THE CATCH

FCFE reached ₹130 Cr only because the company borrowed ₹50 Cr. Strip that and the owners' claim is ₹80 Cr. Always read net borrowing on its own line.

Build it in this order every time. **Examiners mark the bridge, not the final figure.**

SELF-FUNDED GROWTH

How fast it can grow without asking for money

The sustainable growth rate is the speed limit set by its own returns and its own payout.

SGR = ROE × Retention

Retention = 1 − dividend payout. Profit kept is the only growth capital that costs nothing.

18%
Return on equity

×

70%
Retention
30% paid as dividend

=

12.6%
Sustainable growth
The fastest on its own money

IF IT PLANS 25%

The twelve-point gap comes from debt, an equity raise, a lower dividend, or a faster cash cycle. No fifth option.

The quickest sanity check in finance: compare SGR with the growth they are guiding to, and ask who pays for the gap.

Growing *above* SGR? Someone outside is funding it. Look for rising debt, dilution, or stretched payables.

QUICK CALC

EXERCISE 4

Fill the bridge, test the limit

Vidyut Components, FY26. ₹ Cr. Dividend payout 30%.

Bridge	₹ Cr
Net income	180
+ D&A	90
− Increase in working capital	(40)
− Capex	(150)
+ Net borrowing	50
= FCFE	?

a. Fill in operating cash flow, free cash flow and FCFE.

b. Compute SGR, using ROE of 22.5% from Exercise 2.

c. They guided to 24% growth. Self-funded? Who funds the rest?

ANSWERS

OCF **230**, FCF **80**, FCFE **130**. SGR = 22.5% × 70% = **15.75%**. 24% is not self-funded; the gap comes from the ₹50 Cr of new debt.

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04

THE SAME QUESTION, NO PROFIT LINE

Burn and runway

A listed company is asked what it earns on capital. A startup is asked how long its capital lasts.

THE BASICS

Gross burn, net burn, runway

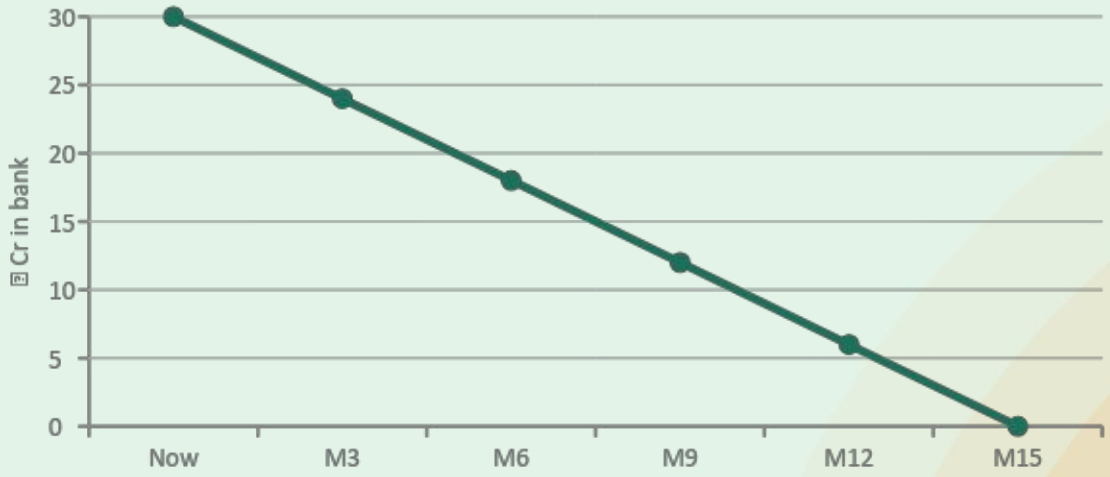
Three definitions, routinely confused in board meetings.

Gross burn — *Monthly cash costs*

Net burn — *Gross burn − collections*

Runway — *Cash ÷ net burn*

RUNWAY, DRAWN OUT



Start raising at twelve to fifteen months. Below six, you are not raising a round, **you are negotiating from weakness.**

Always ask for net burn on the trailing three months, not the best month. Runway is a deadline with a number on it.

CAPITAL EFFICIENCY

What the money actually bought

Net burn is the speed of the drain. The burn multiple is what you got for it.

Burn multiple = Net burn ÷ Net new ARR

Burn multiple	Verdict	In plain terms
Under 1.0x	Amazing	Under ₹1 burnt per ₹1 of new ARR
1.0 – 1.5x	Great	Efficient. Easy to fund
1.5 – 2.0x	Good	Fine early, questioned at Series B
2.0 – 3.0x	Suspect	₹2 to ₹3 burnt per ₹1 of ARR
Above 3.0x	Bad	Hard to fund at any growth rate

AND ITS RIVAL: THE RULE OF 40

Growth % + EBITDA margin % ≥ 40.

A neat one-liner from a 2015 blog post. But it treats a growth point and a margin point as equal (they are not), and it cannot see how the growth was bought.

When they disagree, trust the burn multiple.

The burn multiple collapses growth and efficiency into one number, and **you cannot improve it by spending more.**

Tiers from David Sacks, Craft Ventures. Read by stage: 2.0x is forgivable at seed, serious at Series C.

THE VERDICT

EXERCISE 5

Two screens, one startup, they disagree

Prakash Labs, B2B SaaS, year just closed. ₹ Cr.

Line	Value
Cash in bank	30
Monthly gross burn	6
Monthly collections	4
ARR, start → end	40 → 60
Revenue this year	48

a. Net burn, runway, burn multiple. Which tier?

b. Rule of 40 score (take margin as −net burn ÷ revenue).

c. The two disagree. Which do you trust, and should they raise now?

ANSWERS

Net burn ₹2 Cr, runway **15 months**. Burn multiple 24/20 = **1.2x (great)**. Rule of 40 = 50% − 50% = **0 (fails)**. Trust the burn multiple: it is early, not inefficient. Start raising around month three.

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05

NAME THE BUSINESS FROM ITS NUMBERS

The sector fingerprint

Hide the name, hide the industry, leave only the ratios. A trained reader still knows what it is.

THE IDEA

Every sector sits in its own spot

The business model decides which ratios can even exist. Plot two of them and the sectors separate.



READ THEM IN THIS ORDER

1. **Gross margin**
   what kind of thing is sold
2. **Asset turnover**
   heavy or light
3. **Inventory & receivable days**
   physical or not, cash or credit
4. **Debt to equity**
   is leverage the model

Lenders sit off this chart entirely. No gross margin, no inventory, so you read them on NIM and leverage instead.

THE MAIN EVENT

EXERCISE 6

Five ratio sets. Name the sector

No names, no scale. Identify each, and the two ratios that gave it away.

Ratio	A	B	C	D	E
Gross margin	14%	75%	n.a.	55%	30%
Asset turnover	2.2x	0.9x	0.18x	0.45x	0.55x
Inventory days	32	0	n.a.	25	90
Receivable days	2	65	n.a.	4	45
Cash conversion cycle	**+26**	**+30**	n.a.	**−81**	**+75**
Debt to equity	0.05x	0.00x	3.8x	0.80x	1.20x
Capex % of sales	5%	2%	<1%	9%	12%
The odd number	Receivables of 2d	No inventory	NIM 9.4%	Payables 110d	Stock 90d

Twelve minutes, teams of four. Name the sector, **two** ratios that identified it, and one you deliberately ignored.

EXERCISE 6

Five ratio sets. Name the sector

	Sector	The two tells	Ratio to ignore
A	**Value grocery retail**	Turnover 2.2x, receivables 2 days (pays at the till)	Gross margin, alarming alone
B	**IT services or SaaS**	75% margin, zero inventory	Asset turnover, assets are on payroll
C	**NBFC or lender**	No gross margin, D/E 3.8x	Interest coverage, interest is COGS
D	**QSR or restaurant**	Cash cycle −81 on 110 payable days	Debt to equity, mostly leases
E	**Manufacturing**	90 inventory days, 12% capex	EBITDA margin without turnover

Margin says what is sold, turnover how heavy, the day-counts who funds whom, leverage whether the balance sheet *is* the business.

Illustrative profiles on Indian listed-company averages. The shapes hold even where individual companies vary.

BREATHER · THREE THINGS TO DROP AT DINNER

Ratios have a sense of humour

1

Amazon was funded by its own customers

For years its cash cycle was deeply negative: paid on the day you ordered, suppliers paid two months later. Growth made cash instead of eating it.

2

The Rule of 40 was never a rule

It started as a rough heuristic in a venture blog post around 2015, no paper behind it. Now quoted in board meetings like an accounting standard.

3

A high ROCE is a confession

It tells every rival the industry pays better than the alternatives. Capital arrives, prices get competed away, the return drifts back down.

Learn the story and you will never forget the ratio.

KEEP THIS

Every formula taught today, on one page

Examinable. Learn the pairing, not just the formula.

Metric	Formula	Metric	Formula
ROE	Net profit ÷ Equity	**Current ratio**	Current assets ÷ Current liabilities
ROA	Net profit ÷ Total assets	**Operating cash flow**	PAT + non-cash − ΔWC
ROCE	EBIT ÷ (Equity + Debt)	**Free cash flow**	OCF − capex
ROIC	EBIT(1−t) ÷ (Equity + Debt − Cash)	**FCFE**	FCF + net borrowing
DuPont	Margin × Turnover × Leverage	**Sustainable growth**	ROE × (1 − payout)
Asset turnover	Revenue ÷ Total assets	**Gross burn**	Monthly cash operating costs
DIO	(Avg. Inventory ÷ COGS) × 365	**Net burn**	Gross burn − collections
DSO	(Avg. Receivables ÷ Revenue) × 365	**Runway**	Cash ÷ monthly net burn
DPO	(Payables ÷ COGS) × 365	**Burn multiple**	Net burn ÷ Net new ARR
Inventory Turnover Ratio	COGS ÷ Avg. Inventory	**Rule of 40**	Growth % + EBITDA margin %
Receivables Turnover Ratio	Avg Credit Sales ÷ Avg. Receivables	**Interest coverage**	EBIT ÷ Interest
Cash conversion cycle	DIO + DSO − DPO	**Net debt to EBITDA**	(Debt − Cash) ÷ EBITDA

t = effective tax rate. ΔWC = increase in non-cash working capital. State whether you used closing or average figures.

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THE ONE THING TO KEEP

Ratios do not describe a business. They interrogate it.

Returns · The cash cycle · Profit vs cash · Runway · The fingerprint

NEXT SESSION

Customer economics: acquisition, retention and the cohort, across consumer and SaaS

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ANNEXURE

EXERCISE 7

Saanvi Retail: read it cold

An Indian consumer business, one year of figures, no sector named. Ninety seconds on the exhibit, then answer.

EXHIBIT 1 · SAANVI RETAIL, FY26 (₹ Cr)

P&L

Revenue 5,000 · COGS 4,250 · EBIT 300 · Interest 40 · PAT 195

BALANCE SHEET

Equity 1,300 · Debt 300 · Total assets 2,000

WORKING CAPITAL

Inventory 380 · Receivables 15 · Payables 400

CASH FLOW

D&A 120 · Capex 250 · Rise in working capital 30 · Net borrowing 20

POLICY

Tax 25% · Dividend payout 20%

1 **Saanvi's ROE is closest to:**

A) 9.8% B) 15.0% C) 18.8%

2 **The biggest driver of that ROE is:**

A) Net margin B) Asset turnover C) Leverage

3 **The cash conversion cycle is closest to:**

A) 0 days B) 34 days C) 68 days

4 **Free cash flow to equity (FCFE) is closest to:**

A) ₹35 Cr B) ₹55 Cr C) ₹285 Cr

5 **It plans 18% growth. Against its SGR, that is:**

A) within it B) above it, needs outside funding C) exactly at it

6 **From the ratios alone, Saanvi is most likely a:**

A) lender B) value grocery retailer C) software firm

Ten minutes, individually. Three choices each, **one best answer.** This is the shape the final exam takes.

ANNEXURE

EXERCISE 7

Saanvi Retail: the working

One best answer each. The working is what earns the mark.

Q	Answer	Why	Working
1	B	ROE, not ROA or ROCE	195 ÷ 1,300 = 15.0% (9.8% is ROA, 18.8% is ROCE)
2	B	Turnover is the engine	DuPont: 3.9% × 2.5x × 1.54x. Thin margin, modest leverage
3	A	Roughly self-financing	DIO 33 + DSO 1 − DPO 34 ≈ 0 days
4	B	FCFE, not FCF or OCF	195 + 120 − 30 − 250 + 20 = ₹55 Cr (FCF ₹35, OCF ₹285)
5	B	Above the speed limit	SGR = 15.0% × 80% = 12.0%. 18% needs outside capital
6	B	The fingerprint	15% margin, 2.5x turnover, 1 day receivables: pays at the till

One vignette, five dials. **Returns, the cash cycle, FCFE, self-funded growth and the fingerprint, all in a single business.**

EXERCISE 8

Growth, profit and the cash trap

***Vidyut Components**, an auto-components maker, has grown fast on new OEM contracts and is targeting another **30% growth**. Profits keep rising, operating cash flow is weakening, and management wants to borrow more to fund the expansion.*

Metric (₹ Cr)	FY25	FY26
Revenue	800	1,000
COGS	600	750
EBIT	120	150
PAT	72	90
Total assets	600	750
Equity	300	375
Debt	200	250
Inventory	100	150
Receivables	80	150
Payables	100	120

FY26 also: depreciation ₹40 Cr · capex ₹100 Cr · rise in non-cash working capital ₹90 Cr · net borrowing ₹50 Cr · payout 20%. Use 365 days; treat FY26 balances as averages.

Q1 EASY · RETURN RATIOS

Calculate FY26 ROE and ROCE. What does each one measure?

Q2 EASY · WORKING CAPITAL

Calculate FY26 DIO, DSO, DPO and the cash conversion cycle.

Q3 MEDIUM · PROFIT VS CASH

Calculate FY26 OCF, FCF and FCFE. Why is cash weaker than profit?

Q4 MEDIUM · DUPONT

Split FY26 ROE into margin, turnover and leverage. What drives it?

Q5 MEDIUM · SUSTAINABLE GROWTH

Calculate SGR. Can Vidyut sustain the 30% target as it is?

Q6 DIFFICULT · INVESTMENT COMMITTEE

Support the plan? Name two financial concerns and one operational fix.

Fifteen minutes. Show every formula: **a correct figure with no working scores half.**

ANNEXURE

EXERCISE 8

Growth, profit and the cash trap

Q1 Return ratios

ROE = 90 ÷ 375 = **24%**. ROCE = 150 ÷ 625 = **24%**. ROE is the return to equity; ROCE the operating return on all capital.

Q2 Working capital

DIO 73.0 · DSO 54.8 · DPO 58.4. Cash cycle = 73 + 55 − 58 = **69.4 days** of cash tied up.

Q3 Profit vs cash

OCF = 90 + 40 − 90 = **₹40 Cr**. FCF = 40 − 100 = **−₹60 Cr**. FCFE = −60 + 50 = **−₹10 Cr**. Working capital and capex eat the cash.

Q4 DuPont

9% margin × 1.33x turnover × 2.0x leverage ≈ **24% ROE**. The return leans on turnover and leverage, not margin.

Q5 Sustainable growth

SGR = 24% × 80% = **19.2%**. The 30% target is 10.8 points above it, so it needs new funding, a lower payout or better efficiency.

Q6 Investment committee

A cautious no for now. Two concerns: the **69-day cash cycle** and **negative FCF on positive PAT**. Fix collections and inventory turns before expanding.

Takeaway: **a profitable, high-ROE business can still fail to fund its own growth.** Returns show how well capital earns; cash shows whether it can pay for the growth.